(i) First degree price discrimination

A monopolist charges the maximum price that a buyer is willing to pay. This is called perfect price discrimination. This price wipes out the entire consumer's surplus. This is maximum exploitation of consumers. Mrs.Joan Robinson named it as "Perfect Discriminating Monopoly"

(ii) Second degree price discrimination

Under this degree, buyers are charged prices in such a way that a part of their consumer's surplus is taken away by the sellers. This is called imperfect price discrimination. Mrs.Joan Robinson named it as "Imperfect Discriminating Monopoly". Under this degree, buyers are divided into different groups and a different price is charged for each group. For example, in cinema theatres, prices are charged for same film show from viewers of different classes. In a theatre the difference between the first row of first class and the last row in the second class is smaller as compared to the differences in charges.

(iii) Third degree price discrimination

The monopolist splits the entire market into a few sub-markets and charges different prices in each sub-market. The groups are divided on the basis of age, sex and location. For example, railways charge lower fares from senior citizens. Students get discounts in museums, and exhibitions.

5.7.6 Dumping

Dumping refers to practice of the monopolist charging higher price for his product in the local market and lower price in the foreign market. Through dumping, a country expands its command over other countries for its product. This is also called as 'International Price Discrimination".

For example, India's electronic market is flooded with the China's products.

5.8 Monopolistic Competition

Monopolistic competition refers to a market situation where there are many firms selling a differentiated product. There is competition which is keen, though not perfect, among many firms making very similar products. No firm can have any perceptible influence on the price-output policies of the other sellers nor can it be influenced much by their actions. Thus monopolistic competition refers to competition among a large number of sellers producing close but not perfect substitutes for each other.

5.8.1 Features of monopolistic competition

The important features of monopolistic competition are :

1. There are large number of buyers and many sellers.

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